Weekly Insights | Feb 25, 2026

Executive Summary

Corn – Funds Flip Long, but the Balance Sheet Still Caps the Story

May corn settled at $4.57/bu, up 4.5 cents on the week, with the market holding together better than the March WASDE alone might have suggested. USDA left the U.S. corn balance sheet unchanged at 2,127 mbu, while world ending stocks increased to 292.8 MMT as larger crops in Brazil and Ukraine more than offset the reduction to Argentina. Even so, price support continued to come from the flow side of the market, as managed money moved to a +52,974 contract net long following an aggressive round of short covering and fresh buying. Export inspections at 1.52 MMT slipped below both the prior week and the same week last year, though export sales remained firm at 2.11 MMT and Gulf values held steady at CIF +98 and FOB +115. The May–December spread at a 26-cent carry still reflects a market with comfortable ownership available, suggesting the structure remains adequately supplied even as nearby demand continues to provide support.

Wheat – Strength Concentrated in Spreads Despite Heavy Global Supplies

May CBOT wheat closed the week at $5.92/bu, up 1 cent, with most of the firmness showing up in the spread structure rather than in outright price. USDA left the U.S. wheat balance sheet unchanged at 931 mbu, while world ending stocks at 277.0 MMT continue to signal broadly comfortable global supplies even after a 1.0 MMT reduction to Australia's crop. Export inspections at 496,108 MT were the strongest relative performer among the major grains, running well above both the previous week and the same period last year, while Gulf values also held firm at CIF +70 and FOB +95. In that context, the May–July inverse of 11 cents stands out, suggesting nearby demand is providing more support than deferred values despite the heavier global backdrop. Managed money remains net short at -25,800 contracts, though the latest shift came more from long liquidation than from aggressive new short selling.

Soybeans – Crush Still Leads While Brazil's Harvest Expands

May soybeans led the grain complex this week, settling at $12.16/bu, up 14.5 cents, as the market continued to lean on strong domestic processing demand even while Brazil's harvest progresses. The March WASDE left U.S. soybean ending stocks unchanged at 350 mbu, but USDA increased crush by 5 mbu and raised the season-average soybean meal price to $300/ton, reinforcing the signal already coming from the products market. January NOPA crush reached a record 221.56 mbu, up 10.6% from last year, underscoring the strength of that demand channel. Managed money remains heavily long at +198,902 contracts, indicating funds are still comfortable maintaining exposure to the soybean story for now. Brazil's harvest advanced to 50.6 percent, improving sharply from the prior week but still trailing last

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year's 60.9% pace. The curve continues to reflect that balance, with modest carry nearby before tightening later in the old-crop window ahead of new-crop availability.

(Carry percent calculated assuming 7 percent annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Energy Volatility Keeps Outside Markets in Focus

Outside markets remained an important influence on grain trade this week as volatility in energy markets intensified. WTI crude oil settled at $88.29/bbl, up $10.63 from the prior week, following a sharp move tied to Middle East headlines and renewed concerns around potential disruptions in the Strait of Hormuz. That volatility kept broader commodity sentiment unsettled even as grain markets continued to take their primary direction from balance sheet fundamentals. The U.S. dollar index edged slightly higher to 98.96, while the Brazilian real strengthened modestly to 5.19 per dollar from 5.24 the week before, slightly tempering export incentives for Brazilian producers. For now, macro developments are contributing more to short-term volatility than to a shift in the underlying grain narrative.

Weather – U.S. Dryness and Brazil Harvest Timing Remain Key Watchpoints

Weather remains an important background factor, though it has yet to become the dominant driver of price discovery. In the United States, USDA Crop Progress has not resumed, leaving markets to rely more heavily on drought monitoring and forecast models. Roughly 54.9% of the contiguous U.S. is experiencing some level of drought, with dryness concentrated across portions of the Southern Plains, Texas, Oklahoma, and the Southwest. The 6- to 10-day outlook favors above-normal temperatures and less favorable precipitation across parts of the central Plains, conditions that will continue to attract attention as spring approaches. In South America, Brazil's soybean harvest reached 50.6% while safrinha corn planting advanced to 75.9%, though both remain behind last year's pace and additional rainfall in Mato Grosso could slow fieldwork again. In Argentina, recent rains helped stabilize crop conditions, with corn rated 87.4% normal-to-excellent and soybeans at 74% normal-to-excellent.

What's Next (Mar 12 – Mar 19):

Corn export shipments and sales pace relative to USDA's projection

Stability of the May–July wheat inversion in the nearby spread structure

Soybean crush momentum ahead of the next NOPA release

Managed money positioning in corn after the recent shift to net long

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	03/04/2026 Close	03/11/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (May '26)	$4.52	$4.57	+$0.05	+0.99 percent	15.9 percent (ann.)	-12k (est.)
Soybeans (May '26)	$12.01	$12.16	+$0.15	+1.21 percent	12.14 percent (ann.)	+8k (est.)

Wheat (May '26)	$5.91	$5.92	+$0.01	+0.17 percent	29.40 percent (ann.)	-9k (est.)

5-day realized volatility estimated from daily settlement price changes.
Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	03/04/2026 Quote	03/11/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn May–July	+0.10$	+0.11$	+0.01	72 percent	Carry remains in place; nearby demand is firm
Soy May- July	+0.20$	+0.14$	-0.06	58 percent	Modest carry; nearby support from crush
Wheat May-July	-0.03$	-0.11$	-0.14	-65 percent	Nearby inversion points to firmer short-term demand despite still-comfortable global supply

ssumes 7 percent annual interest and $0.05/bu per month storage/insurance. Estimated full carry over May–July (2 months): corn ≈ $0.15, SRW wheat ≈ $0.17, soybeans ≈ $0.24. Percent of full carry = (calendar spread ÷ estimated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	03/04/2026 USD Price	03/11/2026 USD Price	Δ percent	Notes
Dalian Corn (May)	¥2,347($8.63/bu)	¥2,394 (8.80$/bu)	+1.97 percent	Firm domestic demand in China offset by high inventory levels; import appetite remains selective.
Dalian Soymeal (May)	¥2,837($/411.37mt)	¥3,047($441.88/mt)	+7.42 percent	Sharp rebound as tight near-term crush margins in China clash with delayed arrivals.
B3 (São Paulo) Corn (May)	R$72.25 ($13.84)	R$75.82 ($14.52)	+4.91 percent	Prices climbing as focus shifts to *safrinha* yield potential following erratic weather patterns.
Euronext Wheat (May)	€196.75 ($228.23/mt)	€206.00 (238.96$/mt)	+4.70 percent	Gains supported by renewed logistics concerns in the Black Sea and poor EU crop ratings.

Corn Market Deep Dive

Post-WASDE Balance Sheet: The March WASDE left the U.S. corn balance sheet essentially unchanged, with production, exports, feed and residual use, and ethanol demand all holding steady. Ending stocks remain projected at 2,127 million bushels, leaving the stock-to-use ratio near 14.6 percent, a level that still reflects comfortable availability rather than a tight supply environment. The more notable adjustment came on the global side of the ledger, where world corn ending stocks increased to 292.8 MMT, roughly 3.8 MMT above trade expectations. That increase was largely driven by higher production in Ukraine, up 1.7 MMT to 30.7 MMT, and Brazil, raised 1.0 MMT to 132.0 MMT, more than offsetting a 1.0 MMT reduction to Argentina at 52.0 MMT. Taken together, the global balance sheet continues to lean toward the heavy side, with larger inventories outside the United States likely to limit how far rallies can extend on fundamentals alone.

Futures & Spreads: May corn finished the week at $4.57/bu, gaining 4.5 cents, while the December new-crop contract slipped 3.5 cents to $4.31/bu, leaving the May–December spread at a 26-cent carry. The curve still reflects a market with adequate nearby coverage and little indication that demand needs to be rationed in the short term. Spread values show May–July at +11 cents, July–September at +2.5 cents, and September–December at +14 cents. The relatively modest carry through the July–September window suggests the market remains comfortable with supply availability through late summer. As the calendar moves toward the March 31 Prospective Plantings report, December futures will increasingly act as the primary acreage signal, and the continued discount to old-crop values still reflects expectations for another large U.S. crop in the year ahead.

Funds & Positioning: Managed money positioning was one of the more notable developments in corn this week. Funds moved to a net long of +52,974 contracts, representing a swing of roughly 66,000 contracts as 42,601 short positions were covered alongside the addition of 24,241 new long contracts. The shift marks a meaningful repositioning after the sizeable net short that had built earlier in the year. That change in flow helped support futures during the week, but it does little to alter the underlying supply picture. With the domestic balance sheet unchanged and global stocks increasing, the durability of that new long exposure will likely depend on whether acreage expectations, export demand, or South American production developments provide sufficient follow-through in the weeks ahead.

Cash & Basis: Cash markets remained relatively firm despite the comfortable supply backdrop. Gulf corn basis was quoted near CIF +98 and FOB +115 cents over nearby futures, levels that continue to reflect active export demand and ongoing competition for river logistics. Firm basis alongside stronger futures suggests the physical market remains supportive rather than purely driven by speculative activity. At the same time, elevated Gulf basis can sometimes signal that export demand is being pulled forward rather than expanding structurally. Interior basis values were not updated this week, but strength at the Gulf indicates that nearby commercial demand continues to hold together.

Export Sales & Inspections: Weekly export inspections totaled 1,517,676 MT for the week ending March 5, down from the previous week but still consistent with a solid shipment pace. Cumulative inspections now stand near 41.2 MMT, reflecting steady export movement throughout the marketing year. New export sales for the week ending February 26 reached 2.11 MMT, while outstanding sales remain near 24.96 MMT, suggesting forward demand is still meaningful despite rising South American competition. Taken together, the data points to U.S. export demand remaining supportive in the near term, although competition from Brazilian corn could become more visible later in the year as the safrinha crop moves closer to harvest.

Global Context: Globally, the corn supply outlook remains relatively comfortable. The increase in world ending stocks to 292.8 MMT reflects a production environment where gains in South America and the Black Sea region continue to offset regional shortfalls elsewhere. Ukraine's production increase to 30.7 MMT reinforces competition for U.S. corn in destinations such as the European Union, North Africa, and parts of Asia, while Brazil's 132.0 MMT crop estimate will still depend heavily on weather during the safrinha growing season. In China, Dalian corn futures near ¥2,264/MT point to a relatively stable domestic market and limited urgency for large import purchases at current price levels. Overall, the global balance still suggests comfortable availability rather than tightening supply.

So What? Corn continues to trade between firm nearby demand signals and a global balance sheet that still appears comfortable. Strong Gulf basis and steady export activity are helping support the front end of the curve even after a largely neutral WASDE report. At the same time, higher global ending stocks and expectations for another large new-crop production cycle continue to limit upside potential without a fresh catalyst from demand, acreage, or weather. The recent shift in managed money toward a net-long position helped underpin prices during the week, but that positioning will likely require stronger follow-through to remain in place. The next major checkpoint for the market remains the March 31 Prospective Plantings report.

Soybean Market Deep Dive

Post-WASDE Balance Sheet: The March WASDE introduced only limited adjustments to the U.S. soybean balance sheet. Ending stocks remained unchanged at 350 million bushels, while USDA increased crush by 5 million bushels and raised imports by the same amount to supply that additional processing demand. The change reinforces what recent NOPA data has already been indicating, namely that domestic processing demand continues to run stronger than earlier expectations. On the global side, Argentina's soybean production was trimmed slightly to 48.0 MMT following earlier dryness, while broader supply expectations remain anchored by the advancing Brazilian harvest. USDA also raised the season-average soybean meal price to $300 per ton, a move that reflects continued strength in the products market and helps reinforce the profitability of the crush sector.

Futures & Spreads: May soybeans settled the week at $12.16/bu, gaining 14.5 cents and finishing as the strongest performer across the grain complex. November new-crop futures closed at $11.58/bu, up 4.5 cents, widening the May–November spread to 58 cents. Nearby structure remains relatively orderly, with May–July holding a modest 14-cent carry that suggests active demand without signaling an immediate shortage of supply. Further along the curve the structure tightens noticeably, with July–August at –15 cents and August–November at –49 cents. That pattern places the strongest value in the late old-crop window, where the market continues to balance firm domestic demand against the gradual arrival of new South American supplies.

Products & Crush: Soybean products remain the strongest pillar supporting the soybean market. January NOPA crush reached 221.56 million bushels, a record for the month and 10.6 percent above January last year. Although slightly below December's 224.99 mbu, the pullback largely reflects normal seasonal variation rather than any deterioration in demand. Soybean oil stocks increased to 1.900 billion pounds from 1.642 billion previously, reflecting stronger oil output alongside the elevated crush pace. Through the first four months of the marketing year, NOPA crush is running roughly seven percent above last year's level, already exceeding the growth pace implied in USDA's current crush forecast.

Cash & Basis: Cash soybean markets remained firm during the week. Gulf basis levels were quoted near CIF +105 cents and FOB +128 cents over nearby futures, continuing to reflect demand from both exporters and domestic processors seeking nearby supplies. Firm basis alongside stronger futures suggests that old-crop soybeans continue to carry value even as Brazilian harvest activity expands. Currency movements are also contributing to the competitive landscape, with the Brazilian real strengthening modestly to around 5.19 per dollar from 5.24 the previous week, slightly tempering export incentives for Brazilian producers.

Funds & Positioning: Managed money continues to hold a sizable long position in soybeans, currently estimated at +198,902 contracts. That remains the largest speculative long position across the grain complex. During the latest reporting period, funds added 21,865 new long contracts while also increasing short exposure by 7,165 contracts, reflecting active positioning on both sides of the market. The size of that long position highlights the strength of the crush and products narrative that has supported soybeans in recent months. At the same time, it also increases the market's sensitivity to shifts in sentiment should the underlying demand story begin to weaken.

Export Sales & Inspections: Soybean export inspections for the week ending March 5 totaled 879,190 MT, down from the previous week but slightly above the same week last year. Cumulative inspections now stand near 27.1 MMT, reflecting the typical seasonal transition as South American supplies begin entering global trade channels. Weekly export sales for the week ending February 26 totaled 393.8 TMT, while outstanding sales remain near 9.9 MMT. That forward book should continue to support shipments in the near term even as Brazil gradually increases its presence in global export markets.

Global Context: Brazil remains the dominant driver of global soybean supply dynamics at this stage of the marketing year. Harvest progress reached 50.6%, still roughly ten percentage points behind last year's pace as intermittent rainfall slowed fieldwork across several producing regions, including parts of Mato Grosso. While the slower harvest has temporarily limited export availability, Brazil is still expected to deliver a large crop that will increasingly shape global export flows during the March–August period. Argentina's soybean production is currently projected at 48.0 MMT following the recent reduction tied to earlier dryness.

So What? Soybeans continue to trade between firm domestic demand and expanding global supply. Record crush activity and supportive soybean meal prices remain the primary drivers underpinning the nearby balance sheet and helping maintain strength at the front end of the curve. At the same time, Brazil's advancing harvest and expectations for larger South American supplies continue to limit upside potential further out the curve. The current spread structure reflects that balance, with the strongest value concentrated in the late old-crop window before new-crop supplies begin to arrive.

Wheat Market Deep Dive

Post-WASDE Balance Sheet: The March WASDE left the U.S. wheat balance sheet largely unchanged, with ending stocks holding at 931 million bushels and no revisions to production, exports, or domestic use. USDA did raise the season-average farm price slightly to $4.95/bu, reflecting somewhat firmer nearby market conditions, though the adjustment does little to alter the broader supply outlook. On the global side, the only notable change was a 1.0 MMT reduction to Australia's wheat crop, now estimated at 36.0 MMT following post-harvest revisions. Even with that adjustment, world wheat ending stocks remain elevated at 277.0 MMT, reinforcing the view that global supplies continue to sit at relatively comfortable levels.

Futures & Spreads: May CBOT wheat settled the week at $5.92/bu, up 1 cent, with most of the signal appearing in the spread structure rather than in outright price movement. The May–July spread inverted to roughly 11 cents, a notable feature given the still-comfortable global supply environment. Further out the curve returns to carry, with July–September at +11 cents and September–December at +14 cents, suggesting that the firmness is concentrated in the nearby portion of the market. That pattern points to active short-term demand even as deferred contracts continue to reflect expectations for adequate supply later in the marketing year.

Cash & Basis: Wheat cash markets also firmed during the week. SRW CIF Gulf was quoted near +70 cents and FOB Gulf near +95 cents over May futures, levels that align with the firmness appearing in the nearby spread structure. The cash market therefore appears somewhat stronger than the broader global balance sheet might imply. Even with world wheat inventories remaining elevated, nearby ownership continues to retain value across export channels.

Export Sales & Inspections: Weekly wheat export inspections totaled 496,108 MT for the week ending March 5, rising significantly from the prior week and running well above the same week last year. Year-to-date inspections now stand near 19.1 MMT, indicating stronger shipment activity than the comparable period a year ago. Weekly export sales for the week ending February 26 totaled 242.6 TMT, while outstanding export sales remain near 4.7 MMT. That forward book should continue supporting near-term shipments even as competition from Black Sea and EU origins remains an important factor shaping longer-term demand.

Funds & Positioning: Managed money positioning in CBOT wheat remains net short at -25,800 contracts. Recent changes were driven more by long liquidation than by aggressive new short selling. Funds reduced long positions by 10,726 contracts while adding only 2,224 new shorts, resulting in a net reduction in speculative exposure rather than a decisive shift toward a more bearish view. The pattern suggests that speculative participants are stepping back from directional exposure while the market waits for clearer signals from weather developments and global trade flows.

Global Context: Globally, wheat supplies remain broadly comfortable. World ending stocks at 277.0 MMT continue to point to a market with adequate availability. Russia and the broader Black Sea region remain major competitors for U.S. wheat in destinations such as North Africa and the Middle East, while EU wheat prices near €196/MT remain competitive in nearby export markets. At the same time, weather conditions across parts of the U.S. Southern Plains are beginning to draw more attention, as dryness across portions of the winter wheat belt could become more relevant as the crop moves further into the spring growth period.

So What? Wheat continues to trade within a comfortable global supply framework, but the firmness in nearby spreads suggests short-term demand remains supportive. Stronger export inspections relative to last year and the May–July inverse both point to active near-term movement through export and domestic channels. At the same time, elevated global inventories and continued competition from major exporters limit the upside without a clearer shift in supply conditions or weather risk. As the market moves deeper into the Northern Hemisphere growing season, attention will increasingly turn toward U.S. winter wheat conditions and evolving global export competition as the next drivers of price direction.

US Cash Market & Basis

Corn: Corn basis at the Gulf remained firm, with CIF Gulf quoted near +98 cents and FOB Gulf near +115 cents over May futures. Those values continue to suggest that the physical market is holding together even as the broader corn balance sheet remains comfortable. Export flow appears active enough to support the nearby market, and the firmness in Gulf values continues to contrast with a futures structure that is still carrying ownership forward rather than signaling a shortage of supply.

Soybeans: Soybean basis also held firm at the Gulf, with CIF Gulf near +105 cents and FOB Gulf around +128 cents over May futures. That strength reflects support from both export demand and the domestic crush side of the market, even as Brazil's harvest expands and larger South American supplies begin moving toward export channels. The products market continues to do much of the work here, and basis levels suggest that old-crop beans still retain value in the nearby window.

Wheat: Wheat basis was also firm, with SRW CIF Gulf quoted near +70 cents and FOB Gulf near +95 cents over May futures. Those values are stronger than the broader global wheat balance sheet might imply on their own and align with the firmness showing up in the nearby spread structure. Even with world wheat stocks still elevated, the cash market indicates that nearby ownership continues to retain value.

So What? Cash markets across the grain complex continue to tell a somewhat firmer story than flat price alone might suggest. Corn and soybeans are still finding nearby support from active physical demand, while wheat cash values have also strengthened more than the broader global balance sheet might imply. That does not change the underlying reality that corn and wheat still sit within comfortable supply environments, but it does help explain why nearby values have remained better supported than a simple balance sheet read might indicate.

International Cash & Trade Flows

Brazil: Brazil remains the dominant driver of global soybean trade flows as the harvest expands. Soybean harvest progress reached 50.6 percent, advancing quickly from the previous week but still trailing last year's 60.9 percent pace. Safrinha corn planting has reached 75.9 percent, although fieldwork in parts of Mato Grosso could slow again if forecast rainfall materializes. The slower harvest pace has temporarily limited export availability, allowing U.S. soybeans to retain some competitiveness later into the marketing year than usual. Even so, Brazil is still expected to deliver a large crop, and export pressure will increase as harvest progress accelerates and logistical capacity shifts more fully toward shipments.

Argentina: Crop conditions in Argentina improved following recent rainfall across key producing regions. Corn is now rated 87.4 percent normal-to-excellent, while soybean conditions stand near 74 percent normal-to-excellent, helping stabilize yield expectations after earlier dryness concerns. The March WASDE trimmed Argentina's soybean production estimate slightly to 48.0 MMT, reflecting localized weather stress earlier in the season. Although Argentina is primarily a supplier of soybean meal and oil rather than whole beans, production conditions there continue to influence global product markets and crush margins.

China: China remained a relatively quiet but still important factor in global grain demand this week. Domestic corn futures on the Dalian exchange near ¥2,264/MT point to a stable internal market with limited urgency for large import purchases. Chinese soybean demand continues to be supported by the country's domestic crush sector, although purchases are increasingly shifting toward Brazilian origin as the harvest progresses. China's role in global soybean demand remains structurally significant, but no major policy or procurement shifts were reported during the week.

EU / Black Sea: The Black Sea region remains a central source of competition in global wheat trade. Russian wheat exports continue to move aggressively into key destinations such as North Africa and the Middle East, maintaining strong price competitiveness. EU wheat futures on Euronext near €196/MT also remain competitive in nearby export markets. At the same time, the March WASDE increase in Ukraine's corn production to 30.7 MMT reinforces the region's continued presence in global feed grain markets, particularly into the EU and parts of Asia.

Other Regions: Outside the major exporters, market attention remains focused on the pace at which South American supplies move into global channels and whether U.S. demand can extend further than usual into the seasonal transition. Macro volatility, particularly in energy markets, has added noise to broader commodity trade, but origin competition and export execution remain the more important drivers of grain flows.

So What? Global grain trade continues to reflect the interaction between large South American production and steady international demand. Brazil's advancing harvest will increasingly dominate soybean export flows over the coming months, while Black Sea suppliers remain highly competitive across global wheat markets. At the same time, stable demand from key importers such as China and ongoing activity in U.S. export channels indicate that global trade remains active despite the comfortable supply backdrop. In that environment, shifts in export competitiveness between origins are likely to remain a more important driver of price movement than outright changes in demand.

Key Fundamentals & Reports (Feb 05 – Mar 12)

March WASDE (Released March 10, 2026): The March WASDE delivered a mixed set of signals across the grain complex. In corn, the U.S. balance sheet remained unchanged with ending stocks at 2,127 mbu, while world corn ending stocks increased to 292.8 MMT following production increases in Ukraine and Brazil, reinforcing the view that global corn supplies remain comfortable. In soybeans, U.S. ending stocks were also held steady at 350 mbu, although USDA raised crush by 5 mbu and increased imports by the same amount to support stronger domestic processing demand. The agency also raised the season-average soybean meal price to $300 per ton, reflecting continued strength in the products market. In wheat, the U.S. balance sheet was unchanged with ending stocks at 931 mbu, while global wheat stocks remained elevated at 277.0 MMT, pointing to a broadly comfortable supply environment.

Export Inspections (USDA FGIS – week ending Mar 05): U.S. grain export inspections showed mixed performance across commodities. Corn inspections totaled 1.52 MMT, declining from the previous week but still consistent with a solid shipment pace. Soybean inspections reached 879,190 MT, slightly above the same week last year while reflecting the seasonal slowdown as South American supplies begin entering the market. Wheat inspections totaled 496,108 MT, rising sharply from the prior week and well above the same week last year, marking the strongest relative export performance among the three grains during the reporting period.

Export Sales (USDA FAS – latest through week ending Feb 26): Weekly export sales indicated continued demand across the grain complex, although booking activity varied by commodity. Corn sales totaled 2.11 MMT, with outstanding sales at 24.96 MMT, showing that forward demand remains meaningful despite increasing South American competition. Soybean sales were reported at 393.8 TMT, with outstanding sales at 9.9 MMT, reflecting the expected seasonal slowdown as Brazilian harvest activity expands export availability. Wheat sales totaled 242.6 TMT, while outstanding sales stood near 4.7 MMT, representing moderate new business as previously booked shipments continue moving through the pipeline.

Ethanol Production & Stocks (Week Ending February 27, 2026): U.S. ethanol production averaged 1.095 million barrels per day, slightly lower than the previous week's 1.113 million bpd. Ethanol stocks declined to 23.667 million barrels, down 1.979 million barrels from the prior week. The data points to steady but slightly softer ethanol output while inventories tightened modestly during the reporting period.

NOPA Soybean Crush (January 2026, Released February 17): January NOPA soybean crush reached 221.56 million bushels, setting a new record for the month and running 10.6 percent above January 2025 levels. Although slightly below December's record pace, the result confirms continued strength in domestic processing demand. Soybean oil stocks increased to 1.900 billion pounds, reflecting higher oil production alongside the elevated crush pace. The next NOPA release, scheduled for March 16, will provide additional insight into whether the strong crush pace has continued into February.

CFTC Positioning (as of March 3, released March 7): Managed money positioning showed notable adjustments across the grain markets. Funds shifted to a net long position of +52,974 contracts in corn, driven largely by short covering. In soybeans, managed money maintained a large net long of +198,902 contracts, reflecting continued speculative exposure to the soybean complex. In wheat, funds remained net short at -25,800 contracts, although the most recent changes were driven more by long liquidation than by aggressive new short selling.

International Reports

Brazil: Brazil's soybean harvest reached 50.6 percent of planted area, up from 41.7 percent the previous week, marking a rapid increase in harvest activity as weather conditions temporarily improved across key producing regions. Despite the strong weekly progress, the harvest pace remains behind last year's 60.9

percent, reflecting earlier weather disruptions during the growing season. Safrinha corn planting advanced to 75.9 percent, slightly ahead of the five-year average of 71.5 percent, though still trailing last year's 83.1 percent pace. Weather forecasts calling for renewed rainfall in Mato Grosso could slow harvest and planting progress in the coming weeks.

Argentina: The Buenos Aires Grain Exchange currently estimates Argentina's corn production at 57 MMT, with harvest progress at 7.2 percent and crop conditions rated 87.4 percent normal-to-excellent. Soybean production is estimated at 48.5 MMT, with 74 percent of the crop rated normal-to-excellent. Crop development remains uneven, with 27 percent of first-crop soybeans in grain fill and 40 percent of second-crop soybeans in yield-determination stages. Recent rainfall across parts of Santa Fe, Córdoba, and Buenos Aires provinces has improved soil moisture conditions following earlier dryness concerns.

China: China continues to play a central role in global soybean demand, although market activity has remained relatively quiet in recent weeks. Domestic corn futures on the Dalian exchange near ¥2,264/MT suggest stable internal supply conditions and limited urgency for large corn imports. Chinese soybean demand remains supported by the country's domestic crush sector, though procurement is increasingly shifting toward Brazilian origin as the South American harvest progresses and export availability expands.

Ukraine / Russia: Production revisions in the March WASDE highlighted continued supply contributions from the Black Sea region. Ukraine's corn production was increased to 30.7 MMT, contributing to the upward revision in global corn stocks. Russia remains a dominant supplier in global wheat markets, maintaining strong export competitiveness into key importing regions including North Africa and the Middle East. Black Sea wheat prices continue to set the competitive benchmark for global export markets.

Black Sea / Europe: Global wheat pricing continues to revolve around Black Sea export offers. Russian 12.5% protein wheat is currently quoted near $234/MT FOB, maintaining a significant discount to U.S. Gulf values and preserving Russia's competitiveness in price-sensitive import markets. Ukrainian grain exports remain active through established shipping channels, and no disruptions to regional logistics have emerged. European wheat futures have firmed modestly alongside broader commodity markets, but the region's export pace still trails last year's level. As long as Black Sea supplies continue moving freely into global trade channels, the international wheat market remains anchored by abundant availability rather than supply constraint.

So What? International developments continue to reinforce a global grain market characterized by ample supply but active trade flows. Brazil's advancing harvest will increasingly dominate soybean export availability in the coming months, while improved crop conditions in Argentina help stabilize South American production expectations. At the same time, steady Chinese demand for soybeans and continued export competition from the Black Sea region remain key forces shaping global price relationships. As a result, shifts in export competitiveness between origins rather than outright changes in global demand are likely to remain the primary driver of international grain trade in the near term.

Weather & Crop Conditions

United States

USDA Crop Progress reporting remains suspended during the winter period, leaving the U.S. Drought Monitor and forecast models as the primary indicators of agricultural weather conditions. Roughly 54.9 percent of the contiguous United States is currently experiencing some level of drought, with dryness concentrated across parts of the Southern Plains, Texas, Oklahoma, and the Southwest. The 6–10 day outlook calls for above-normal temperatures across much of the eastern half of the country and the Southern Plains, while precipitation is expected to remain below normal across portions of the central Plains. Dry conditions across the winter wheat belt are therefore becoming a developing concern as the crop approaches the spring growth period.

Brazil
Weather conditions across central Brazil remained an important factor shaping harvest progress during the week. Periods of drier weather allowed soybean harvest to advance to 50.6 percent of planted area, up from 41.7 percent the previous week, though the pace still trails last year's 60.9 percent. Fieldwork has progressed more quickly across parts of Mato Grosso and Goiás, where drier conditions improved access to fields after earlier delays. However, forecast models indicate the potential for renewed rainfall across Mato Grosso during the coming week, which could temporarily slow harvest operations and delay remaining safrinha corn planting in some areas. Safrinha planting currently stands at 75.9 percent, still behind last year's 83.1 percent pace, keeping attention on whether planting can finish within the optimal window for second-crop corn development.

Argentina
Recent rainfall across parts of Santa Fe, Córdoba, and Buenos Aires province improved soil moisture conditions following earlier dryness concerns. Corn crop conditions are currently rated 87.4% normal-to-excellent, while soybean conditions stand near 74% normal-to-excellent. The improvement in moisture has helped stabilize yield expectations for both crops as development continues through important reproductive stages.

China
Weather conditions in China remain generally stable across major grain producing regions. Domestic corn markets continue to reflect adequate supply conditions, and no significant weather disruptions have been reported that would materially alter production expectations. As a result, Chinese weather has not been a major driver of global grain market sentiment during the past week.

EU / Black Sea
Weather conditions across parts of the Black Sea region remain relatively dry, although no major production threats have emerged at this stage of the growing season. Winter wheat crops across Russia and Ukraine remain in dormancy, with weather developments expected to become more relevant as the region moves closer to spring growth stages. Current conditions have therefore not materially altered expectations for global wheat supply.

So What?
Weather developments remain an important but still secondary factor in global grain markets. Dryness across parts of the U.S. Southern Plains could become more relevant as the winter wheat crop exits dormancy, while rainfall patterns in Brazil will continue to influence soybean harvest pace and the timing of safrinha corn planting. Recent improvements in moisture across Argentina have helped stabilize crop conditions after earlier stress. For now, weather remains a background risk rather than a dominant supply threat, meaning balance sheet fundamentals continue to drive the broader market narrative.

Synthesis & Outlook

The March WASDE left the grain complex with a mixed but relatively clear message. Soybeans continue to carry the cleanest demand story, while corn and wheat remain within broader supply structures that still appear comfortable. Even so, futures held together better than the balance sheets alone might have suggested, particularly in corn, where a sharp shift in fund positioning helped support prices alongside firm Gulf values and steady export flow. Macro volatility added some noise during the week, but the more important theme remained the tension between what the paper market is pricing and what nearby physical markets continue to signal.

Corn finished firmer even with USDA leaving the U.S. balance sheet unchanged at 2,127 mbu and world ending stocks increasing to 292.8 MMT. That is not an inherently bullish setup, which is why the shift in managed money to a +52,974 contract net long carried added significance during the week. At the same time, the market is not trading like one under immediate supply pressure. The May–December carry at 26 cents still indicates that ownership remains available, while firm Gulf values and steady export sales are helping keep the nearby market supported. Corn can remain stable in this kind of structure, but the market will likely require either stronger demand signals or a more credible acreage or weather risk to extend the rally further.

Soybeans remain the most fundamentally supported market in the complex. USDA's 5 mbu increase in crush, the move to a $300/ton season-average soybean meal price, and January NOPA crush at 221.56 mbu all reinforce the same theme: domestic processing demand continues to provide real support. That demand is occurring while Brazil's harvest is still only 50.6 percent complete, behind last year's 60.9 percent pace, which is helping keep some support under the nearby structure even as larger South American supplies continue to build. The curve continues to reflect that balance, with the market willing to carry nearby ownership modestly before tightening into the late old-crop window. Among the three markets, soybeans still present the strongest case for nearby support based on underlying fundamentals.

Wheat remains the most difficult market to turn decisively bullish. USDA left the U.S. balance sheet unchanged at 931 mbu, and world wheat ending stocks at 277.0 MMT continue to weigh on the broader supply outlook. Still, wheat did show some signs of nearby firmness during the week. Export inspections improved to 496,108 MT, Gulf values held firm at CIF +70 and FOB +95, and the May–July inverse of 11 cents suggests the nearby market is holding together better than the deferred structure might imply. That development is worth noting, but it is still unfolding within a market where Black Sea competition and comfortable global stocks continue to limit the broader upside story.

Weather remains more of a supporting factor than the central market driver, although it is not irrelevant. Dryness across parts of the U.S. Southern Plains will become more important as winter wheat moves deeper into spring development, particularly while Crop Progress reporting remains suspended. In South America, rainfall timing across Brazil continues to influence both soybean harvest pace and safrinha corn planting progress, while recent moisture in Argentina has helped stabilize row crop conditions following earlier stress. For now, weather risks are not large enough to override the balance sheets, but they remain sufficient to keep some risk premium in the market.

Bullish triggers: The clearest bullish triggers from here would be continued strength in U.S. export demand, particularly for corn, another solid soybean crush reading when NOPA reports again, and any weather development that begins to threaten production more directly in either the United States or South America. Firm nearby cash markets are already contributing to that support, and if basis remains strong while futures continue to hold structure, the market will likely keep testing whether paper prices need to move closer to physical value.

Bearish triggers: The bearish side of the story remains relatively straightforward. Brazil's soybean harvest is still expanding, and larger South American supplies will increasingly move into global trade flows as export activity accelerates. Corn continues to contend with 292.8 MMT of world ending stocks, while wheat remains under the weight of 277.0 MMT in global inventories and persistent Black Sea competition. At the same time, both corn and soybeans now carry enough speculative length that a softer macro tone, weaker demand signals, or disappointing follow-through could trigger some degree of long liquidation.

In summary: Overall, soybeans still appear to have the strongest fundamental support, corn is trading somewhat firmer than its balance sheet might suggest but still depends on outside catalysts, and wheat continues to show pockets of nearby strength within a still-heavy global supply environment. The broader market is not yet trading a true supply scare, but firm nearby physical markets are preventing futures from